

the motel in 2001, average occupancy was under 60 percent and the average nightly rate was \$55, yielding gross revenues of under \$1.6 million.

The average occupancy now is north of 65 percent and the average rate is about \$70, yielding gross revenues of about \$2.1 million. Revenues have increased about \$500,000 over the past four years. I'd guess that underlying costs have increased by perhaps only \$150,000. The motel is likely generating \$800,000 + in free cash flow annually—after paying Manilal a handsome salary.

Let's examine the economics here from Manilal's vantage point. His salary is at least \$50,000 a year—a big step up from his Cherokee and gas station days. His family's \$350,000 investment in this “motel bond” yielded an initial annual coupon of about \$125,000 a year. It has increased by about \$25,000 a year and today is about \$200,000. Initially, this bond paid a 36 percent coupon and currently the coupon is 57 percent. In addition, if they decided to sell this bond today, they wouldn't just get back the \$350,000, but nearly \$1.7 million—about five times the initial investment in four years.

Manilal is busy these days with the construction of a new Holiday Inn Express in Chino Hills, California. He bought the land for \$1.3 million and expects it to cost about \$8 million in aggregate. Revenues are expected to be around \$2.3 million a year. He was, understandably, reticent to give me all his financial details; but I suspect the Best Western has been refinanced and the investors have gotten their money out and then some. The refinancing, along with the robust cash flows from the Best Western, is funding Chino Hills and other projects.

The family has started to set up independently owned properties by the siblings. One brother and the sister each own and run small motels in Utah. Both properties have about 40 to 50 rooms, and they were purchased with about \$250,000 down. Each sibling and spouse quit Cherokee as they started running motels. One brother still works at Cherokee. Manilal still lives modestly in the same Foothill Ranch house he bought in 1994. The kids have all done exceptionally well. They are mostly professionals—doctors, dentists, and so on. His daughter is now 32. She is married with